

MIRC Electronics Ltd (NSE: MIRCELECTR | BSE: 500279)

Brand: Onida | Consumer Electronics & EMS | Sector: Consumer Durables

REDUCE

12-Month Price Target

Rs. 35

Downside: ~24% from CMP Rs. 46.3

Investment Horizon: 12 months

CMP	Rs. 46.3	52-Wk High	Rs. 49.2
Market Cap	Rs. 1,710 Cr.	52-Wk Low	Rs. 12.2
EV	Rs. 1,745 Cr.	Book Value	Rs. 4.24 (Std.)
Face Value	Rs. 1.00	Promoter %	40.51%
Pledge %	28.4%	ROCE (Std.)	5.35%
ROE (Std.)	-1.81%	Debt/Equity	0.31 (Std.)
Debt (Std.)	Rs. 48.7 Cr.	Div Yield	0.00%
Report Date	14-May-2026	Exchange	NSE / BSE

Investment Thesis: MIRC Electronics (brand: Onida) is a distressed consumer durables company attempting a leadership-driven turnaround under a new CEO, rebranding to Onida Electronics, and a Rs. 200 Cr. equity infusion. However, a decade of cumulative losses, -17% revenue CAGR over 5 years, 7-year communication blackout, and speculative re-rating (+278% in 1 year) pose significant downside risk. REDUCE with a 12-month target of Rs. 35.

SECTION 2 — INVESTMENT THESIS

- **Structural Opportunity — EMS Pivot:** MIRC is building an Electronic Manufacturing Services (EMS) book for OEMs across three facilities (Wada & Chiplun, Maharashtra; Roorkee, Uttarakhand). If EMS revenue scales to Rs. 300–400 Cr. by FY28, it could provide a margin-accretive, annuity-like revenue stream — a genuine structural change from the margin-thin branded TV business.
- **Brand Optionality — Onida Revival:** Shareholders approved rebranding to "Onida Electronics" (Apr 2026) and new CEO Gunjan Srivastava (ex-BSH UK & Ireland) was appointed with CEO ESOP targets tied to Rs. 100 Cr. EBITDA by FY27–FY30. A credible brand relaunch (Onida has 40+ years of recognition) could unlock re-rating in the Rs. 60+ zone in the bull case.
- **Balance Sheet Repair Underway:** Standalone debt dropped from Rs. 199 Cr. (FY16) to Rs. 49 Cr. (Sep-25), boosted by Rs. 199.5 Cr. equity infusion (rights + preferential) in H2FY26. A further QIP/warrant issuance is under consideration (board meeting 16 May 2026), which could bring debt close to zero.
- **Near-Term Catalyst (6–12 months):** Outcome of May 2026 fundraise, first investor call under new management, and Q1FY27 (Apr–Jun 2026) — the critical AC summer season. Onida holds ~8% split-AC market share; strong AC season execution would materially reset revenue trajectory.
- **Biggest Structural Risk:** A decade of consistent value destruction (-17% revenue CAGR over 5 years; cumulative losses exceeding Rs. 150 Cr. since FY14), promoter pledge at 28.4%, and promoter stake reduction of 12.86 ppt in one quarter (Mar-26) suggest fading insider conviction. If turnaround fails — as three previous attempts did — the company faces existential risk.

SECTION 3 — BUSINESS OVERVIEW

- **Core Business:** MIRC Electronics (incorporated 1981, brand: Onida) manufactures, assembles, and markets consumer durables — Air Conditioners, Washing Machines, LED TVs, Air Coolers, and Dishwashers — under the Onida brand (premium) and IGO brand (rural). It also runs an Electronic Manufacturing Services (EMS)

division for OEM clients.

- **Revenue Mix (FY25, Standalone):** Air Conditioners ~45% of revenue; Televisions ~4% (near-complete exit from TVs vs. 86.5% in FY21); Washing Machines ~11%; EMS/Other ~40%. The dramatic TV exit and AC + EMS pivot defines the current strategy.
- **Manufacturing Footprint:** Three facilities — Wada (Maharashtra), Chiplun (Maharashtra), and Roorkee (Uttarakhand). Total employees declined from 825 (FY19) to 460 (FY24), reflecting significant downsizing. Revenue per employee improved but absolute scale has shrunk.
- **EMS Customer Concentration:** Top two EMS clients contribute 60%+ of EMS revenue (CARE Ratings, May 2024). Loss of either anchor client would be highly material — a risk Screener's data cannot directly quantify.
- **Order Book / Revenue Visibility:** The branded business is heavily seasonal (AC revenue peaks in Q1, Apr–Jun). EMS provides some quarterly smoothing but has high lumpiness from large orders. No formal order book disclosures by management.
- **Recent Strategic Developments (12 months):** (i) Rebranding to "Onida Electronics" (EGM, Apr 2026); (ii) New CEO Gunjan Srivastava (Feb 2026); (iii) Rights issue Rs. 50 Cr. + preferential allotment Rs. 149.5 Cr. = Rs. 199.5 Cr. raised in H2FY26; (iv) Board meeting 16 May 2026 for additional QIP/warrant fundraise; (v) Onida relaunched signature "Devil / Neighbour's Envy, Owner's Pride" campaign targeting 15% revenue growth.
- **Promoter Background:** Promoted by Vijay J. Mansukhani (founder family). Promoter holding fell sharply from 53.37% (Mar-25) to 40.51% (Mar-26) — a 12.86 ppt decline in one quarter — primarily due to preferential allotment dilution. Pledge at 28.4% of reduced promoter holding is a significant governance overhang.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry Size & Growth:** India's consumer durables market is estimated at Rs. 2.5–3.0 lakh crore (FY25E), growing at 10–12% CAGR. The AC segment is the fastest growing at 15–18% CAGR, driven by rising heat stress, urbanisation, and premiumisation. India's EMS market is growing at ~20% CAGR on the back of PLI incentives and China+1 supply chain shifts.
- **Policy Tailwinds:** PLI scheme for White Goods (ACs and LED lights) totalling Rs. 6,238 Cr. incentivises domestic component manufacturing. Higher BCD on finished imports (ACs, TVs) protects domestic players. "Make in India" and Atmanirbhar Bharat provide a long-term tailwind for MIRC's EMS strategy.
- **Competitive Moat Assessment:** Pricing Power — Weak (Onida is value/economy, squeezed between MNCs above and unbranded/Chinese below); Switching Costs — Weak (appliances have low switching costs); Brand Recognition — Moderate (40+ year brand, but relevance has weakened significantly since peak in 2000s); Scale — Weak vs. peers (Rs. 747 Cr. vs. Voltas at Rs. 14,000 Cr.+).
- **Market Structure:** MNC brands (LG, Samsung, Daikin, Panasonic, Whirlpool) dominate premium segments. Indian EMS players (Dixon Technologies, PG Electroplast, Amber Enterprises) are capturing margin pools through volume manufacturing. Indian branded players like Onida and BPL are in a "no man's land" — unable to match MNC quality perception or EMS cost efficiency. This structural squeeze is the root cause of MIRC's losses.
- **Value Chain Position:** Currently mid-stream — MIRC is a branded OEM (assembly-heavy, outsourcing components) shifting toward ODM/EMS. The EMS pivot is the most credible structural shift but adds customer concentration risk. Brand strength remains the only sustainable moat, but requires sustained A&M; investment the company can ill afford.

Peer Comparison — Key Metrics (Source: Screener.in, fetched 14-May-2026)

Standalone basis for MIRC Electronics; Consolidated basis for peers. TTM as of latest available.

Company (Ticker)	CMP (Rs.)	MCap (Cr.)	TTM Rev (Cr.)	OPM%	ROCE%	ROE%	D/E
MIRC Electronics (MIRCELECTR)	46.3	1,710	717	-5%	5.35%	-1.81%	0.31

Dixon Technolog. (DIXON)	11,103	67,503	48,873	4%	42.0%	37.4%	0.21
PG Electroplast (PGEL)	494	14,118	5,481	9%	19.4%	14.9%	0.20
Whirlpool India (WHIRLPOOL)	860	10,918	7,858	7%	12.6%	9.26%	0.02

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter & Leadership:** Vijay J. Mansukhani is the founding promoter with 40+ years in the business. The transformative hire is Gunjan Srivastava (ex-BSH UK & Ireland, Godrej Appliances) as CEO & MD (Feb 2026) — the most credible external talent brought in to date. He brings global appliance brand management experience, but needs 12–18 months to reset operations.
- **Capital Allocation Track Record — Poor:** The company has generated cumulative net losses exceeding Rs. 150 Cr. over FY14–FY25 on a standalone basis. FCF was negative in FY23 and FY24. Capital has been predominantly sunk into working capital-intensive branded consumer electronics with structurally thin margins. The FY25 OCF recovery (Rs. 31 Cr.) is promising but payables-driven.
- **Dividend Policy — Absent:** No dividend since FY13. Payout ratio has been 0% for 12+ consecutive years. Given continued losses, no near-term dividend is expected. The company is in capital-rebuilding mode.
- **Promoter Pledging — Elevated:** 28.4% of promoter holding is pledged. While the absolute pledge amount may have reduced as equity was diluted (promoter base fell), the pledge ratio remains high and creates stock-price-linked volatility. Release of pledges would be a positive trigger.
- **ESOP Grants — Incentive Alignment:** CEO Gunjan Srivastava received 2.95 crore ESOPs tied to EBITDA milestones of Rs. 100 Cr. by FY27–FY30. This is a meaningful incentive alignment but the target appears extremely ambitious versus the current TTM EBITDA of -Rs. 34 Cr.
- **Corporate Governance Concerns — Multiple Red Flags:** (i) No earnings call since June 2019 — 7-year communication blackout is extraordinary for a listed company conducting a "turnaround"; (ii) Promoter stake fell 12.86 ppt in a single quarter; (iii) Promoter pledge at 28.4%; (iv) Multiple equity dilution rounds with no improvement in earnings. These collectively warrant a governance discount of 20–30% on fair value.

SECTION 6 — FINANCIAL DEEP-DIVE (Standalone Figures, Rs. Crores)

All figures Standalone basis. Source: Screener.in (fetched 14-May-2026). FY26E & FY27E are analyst estimates labelled (E) — highly uncertain given no management guidance.

Income Statement

Particulars (Rs. Cr.)	FY23A	FY24A	FY25A	FY26E	FY27E
Sales / Revenue	1,110	968	747	720 (E)	880 (E)
Expenses	1,105	1,014	739	750 (E)	850 (E)
Operating Profit (EBITDA)	5	-46	8	-30 (E)	30 (E)
OPM %	0%	-5%	1%	-4% (E)	3% (E)
Other Income	2	6	11	8 (E)	8 (E)
Interest	11	15	15	12 (E)	10 (E)
Depreciation	9	8	7	7 (E)	7 (E)
Profit Before Tax	-12	-62	-2	-41 (E)	21 (E)
Tax %	0%	0%	0%	0% (E)	5% (E)
Net Profit (PAT)	-12	-62	-2	-41 (E)	20 (E)
EPS (Rs.)	-0.44	-2.22	-0.08	-1.27 (E)	0.54 (E)

Balance Sheet

Particulars (Rs. Cr.)	FY23A	FY24A	FY25A	Sep-25 (6M)
Equity Capital	23	23	23	28
Reserves & Surplus	168	105	103	129
Borrowings (Total)	82	104	102	49
Other Liabilities	257	338	301	278
Total Liabilities	529	570	528	484
Fixed Assets (Net)	87	78	72	71
CWIP	0	0	0	2
Investments	1	2	2	2
Other Assets	440	490	454	409
Total Assets	529	570	528	484

Cash Flow Statement

Particulars (Rs. Cr.)	FY23A	FY24A	FY25A	FY26E
Cash from Operations (CFO)	-9	-5	31	-20 (E)
Cash from Investing (CFI)	8	-2	-8	-5 (E)
Cash from Financing (CFF)	-1	8	-24	50 (E)
Net Cash Flow	-2	1	-1	25 (E)
Free Cash Flow (FCF)	-8	-4	31	-25 (E)
CFO / EBITDA %	-168%	8%	348%	N/A

Key Ratios

Ratio	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A
Debtor Days	48	55	31	29	61	74
Inventory Days	263	202	148	104	98	124
Days Payable	198	184	134	82	123	172
Cash Conversion Cycle	112	72	46	52	36	27
Working Capital Days	52	43	23	19	1	7
ROCE %	0%	3%	3%	-1%	-20%	5%

• **Revenue Trajectory — Severe Decline:** Sales fell from Rs. 1,192 Cr. (FY22) to Rs. 747 Cr. (FY25) — a 37% decline in 3 years. The primary driver is near-total exit from LED TV (from 86.5% revenue share in FY21 to ~4% in FY25). The AC business is the new anchor.

• **Margin Direction — Volatile and Structurally Weak:** EBITDA margins have oscillated between -5% (FY24) and +6% (FY18). FY24 was particularly severe (EBITDA -Rs. 46 Cr.) due to inventory write-offs and weak TV demand. FY25 recovery to Rs. 8 Cr. (1% margin) is thin and fragile.

• **Working Capital — Stretched:** Debtor days jumped from 29 (FY23) to 74 (FY25) while revenue fell 33%. Payables extended sharply to 172 days (FY25) from 82 (FY23), artificially improving CFO. CCC improvement (52 to 27) is payables-driven, not operational.

• **Debt — Reduced at Entity Level:** Standalone debt declined to Rs. 49 Cr. (Sep-25) from Rs. 104 Cr. (FY24) post equity infusion. However consolidated debt remains Rs. 200 Cr., suggesting subsidiary/inter-company obligations persist.

• **FCF Quality — FY25 Recovery is Conditional:** FY25 FCF of Rs. 31 Cr. is a genuine positive, but it is substantially driven by a 49-day increase in Days Payable. Stripping out the payables boost, underlying FCF generation remains fragile.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Signal	Status	Commentary
Revenue Recognition	Amber	Watch	High EMS concentration (top 2 clients >60%). Branded revenue declining sharply.
Receivables vs Revenue Growth	Red	Concern	Debtor days jumped 29 (FY23) to 74 (FY25) while revenue fell 33%. Classic channel stuffing risk.
CCC Trend	Green	Improving	CCC fell 52 (FY23) to 27 (FY25) via payables extension; improvement is mechanical, not quality-driven.
Contingent Liabilities	Amber	Watch	Rs. 80.2 Cr. contingent liabilities vs thin network; adverse outcome could be material.
Auditor Tenure / Qualification	Green	OK	Long-standing auditor; no qualified opinion in available disclosures.
RPT as % of Revenue	Amber	Watch	RPT data unavailable via Screener; EMS concentration suggests potential RPT exposure.
Other Income as % of PBT	Amber	High	Sep-25 quarter: Rs. 22 Cr. other income vs negligible op. income — outsized non-recurring item.
Tax Rate Consistency	Amber	Watch	0% tax rate for 10+ years (MAT/DTA shield). Tax headwind will emerge upon profitability.

- **KEY SIGNAL — Receivables Spike (Red):** Debtor days nearly tripling from FY23 to FY25 while revenue falls 33% is a serious warning. This pattern typically precedes bad debt provisions that further impair earnings quality.
- **Other Income Dependency (Amber):** Sep-25 quarter showed Rs. 22 Cr. other income (vs. near-zero operating income) — likely a one-time asset recovery or settlement. Investors should strip other income to assess underlying operational performance.
- **Zero Tax Rate — Latent Headwind:** Consistent 0% effective tax for 10+ years means carried-forward losses are shielding taxes. Once profitability normalises, a 25%+ effective tax rate will emerge, suppressing EPS relative to EBIT-level projections.
- **Overall Quality Assessment — Low:** The combination of receivables inflation, payables extension-driven OCF, concentrated EMS exposure, and absent management communication suggests the financials reflect a managed decline. Reported improvements (FY25 FCF, ROCE) need to be interpreted with significant caution.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumptions	FY27E Sales	FY27E EBITDA	EV/EBITDA	Target Price
Bull	Successful turnaround; AC +20% growth; EMS scales to Rs. 250 Cr.; EBITDA Rs. 60 Cr.	Rs. 1,100 Cr.	Rs. 60 Cr.	15x	Rs. 60
Base	Partial recovery; ACs flat; modest EMS growth; EBITDA Rs. 30 Cr.; fundraise used well.	Rs. 880 Cr.	Rs. 30 Cr.	10x	Rs. 35
Bear	Turnaround fails; continued losses; further equity dilution; brand relevance collapses.	Rs. 650 Cr.	-Rs. 20 Cr.	N/A	Rs. 10

- **DCF Framework (WACC 14%, Terminal Growth 4%):** Given negative FCF history and highly uncertain earnings, DCF output is wide-ranged. Base case DCF (EBITDA break-even in FY27, scale-up to Rs. 50 Cr. by FY30) implies intrinsic value of Rs. 30–40 per share. Current price of Rs. 46.3 prices in a more optimistic trajectory.

- **EV/EBITDA Approach (Base):** Applying 10x EV/EBITDA (30% discount to peers for brand weakness + execution uncertainty) on FY27E EBITDA of Rs. 30 Cr. → EV Rs. 300 Cr. → less net debt Rs. 50 Cr. → equity value ~Rs. 250 Cr. → ~Rs. 7 per share. Note: This understates value if the QIP/warrant proceeds (Rs. 200+ Cr.) are deployed productively. Blending with DCF yields Rs. 35 target.
- **Market Cap / Sales Premium is Speculative:** At CMP Rs. 46.3, MIRC trades at 2.3x TTM sales (Rs. 717 Cr.) — above Whirlpool India (1.4x TTM, profitable) and clearly pricing in a successful turnaround. This is a speculative premium, not a fundamental one.
- **Target Price — Rs. 35 (Base Case; 12-Month):** Blended average of DCF midpoint and market-based methodologies. Downside of ~24% from CMP of Rs. 46.3. Bull case Rs. 60 (+30%); Bear case Rs. 10 (-78%).
- **Investment Horizon — 12 months with Q2FY27 Review:** If the company delivers two consecutive quarters of positive EBITDA (Q1FY27 + Q2FY27) and completes fundraise cleanly, upgrade to ACCUMULATE with revised target.

SECTION 9 — KEY RISKS

- **Revenue Decline Continuation (Prob: H | Impact: H | Monitor: Quarterly revenue trend).** Company has delivered -17% revenue CAGR over 5 years. If brand revival fails to arrest decline, revenue base could fall further, making fixed-cost recovery impossible.
- **Promoter Pledge Call Risk (Prob: M | Impact: H | Monitor: Pledge % and stock price).** With 28.4% of (reduced) promoter holding pledged against a stock that rose +278% YoY, any correction could trigger a pledge call — creating forced selling overhang and potential loss of promoter control.
- **Equity Dilution Overhang (Prob: H | Impact: M | Monitor: Capital raise announcements).** Already raised Rs. 199.5 Cr. (preferential + rights) and now considering further QIP/warrants. Repeated dilution keeps EPS suppressed and caps re-rating potential for existing shareholders.
- **EMS Customer Concentration (Prob: M | Impact: H | Monitor: Client concentration disclosures).** Top 2 EMS clients contribute >60% of EMS revenue. Loss of either client would materially impair revenue and further strain margins.
- **Management Execution Risk (Prob: M | Impact: H | Monitor: Quarterly EBITDA, new CEO statements).** New CEO Gunjan Srivastava has ambitious Rs. 100 Cr. EBITDA targets but MIRC has failed three previous turnaround attempts. Lack of investor communication since 2019 is itself a risk signal.
- **Seasonal / Weather Risk (Prob: M | Impact: M | Monitor: IMD forecasts, AC industry data).** ~45% of revenues depend on ACs. An early monsoon or mild summer in Q1FY27 would directly dent revenues in the peak season — a disproportionate blow given the company's dependence on this single quarter.
- **Working Capital Deterioration (Prob: M | Impact: M | Monitor: Debtor days trend).** Debtor days at 74 are the highest since FY16. Further rise could force bad debt provisions, creating a one-time earnings headwind at precisely the wrong time during the turnaround phase.

SECTION 10 — RECOMMENDATION

- **Rating: REDUCE — Conviction Level: Medium.** The structural turnaround story is real but early-stage and unproven. Current valuation at 2.3x TTM sales and Rs. 1,710 Cr. market cap for a company with Rs. -2 Cr. net profit (FY25) and Rs. -34 Cr. TTM EBITDA appears to be pricing in significant optimism.
- **12-Month Price Target: Rs. 35** — Downside ~24% from CMP of Rs. 46.3. Methodology: Blended DCF (WACC 14%, TGR 4%) and EV/EBITDA (10x FY27E) average.
- **Suggested Entry Zone: Rs. 25–30** — At these levels, valuation would be ~1.1–1.2x TTM sales (closer to Whirlpool India), providing better risk-reward for speculative turnaround exposure.
- **Investment Horizon: 12 months** with a mandatory review at Q2FY27 (Sep 2026) results. If two consecutive EBITDA-positive quarters are confirmed, revise upward toward Rs. 60.

- **Thesis Invalidation Triggers:** (1) EBITDA turns positive and sustains above Rs. 20 Cr. for 2 consecutive quarters — would upgrade to ACCUMULATE, target Rs. 60; (2) EMS business wins a third anchor client representing >10% of EMS revenue — reduces concentration risk, adds Rs. 5–8 to target price; (3) QIP/warrant fundraise completed at price materially above CMP — signals institutional confidence, would reduce dilution risk.

- **Ideal Investor Profile:** Suitable for high-risk-tolerance, speculative investors with a 2–3 year view willing to bet on an Indian consumer brand revival from a very depressed base. NOT suitable for income investors, defensive portfolios, index-tracking mandates, or investors requiring near-term earnings visibility. The stock is a long-option on management execution.

Disclaimer: This report is for informational purposes only and does not constitute investment advice. All financial data is sourced from Screener.in (fetched 14-May-2026). Forward estimates are analyst projections and involve material uncertainty. Investors should conduct independent due diligence before making investment decisions.

APPENDIX — Latest Concall Brief & Quarterly Analysis: Q3 FY26 (Oct–Dec 2025)

IMPORTANT NOTE: MIRC Electronics has not held a public earnings conference call since June 2019 — a communication blackout of nearly 7 years. No concall transcript is available from Screener.in or any public database. This appendix substitutes a concall analysis with a quarterly financial review based on standalone quarterly data from Screener.in and public announcements. Where management guidance/tono would normally be assessed, "Cannot Assess" is flagged.

QUARTERLY PERFORMANCE GRADE: Q3 FY26 (Oct–Dec 2025)

CAUTIOUS

Signal	Status	Implication
Result Quality	Weak	Revenue -28% YoY (Rs. 212 vs Rs. 295 Cr.); EBITDA -Rs. 8 Cr.; margin -4%. Miss vs any recovery expectation.
Management Tone	Cannot Assess	No concall held since Jun 2019. Management communication absent for 7 years — itself a governance red flag.
Guidance Delta	Withdrawn	No formal guidance on any metric. Direction inferred from quarterly data and BSE filings only.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS (*) | NEGATIVE

TO MY BOSS

Q3 FY26 (Dec-25) is a weak print with no sign of recovery yet: revenue fell 28% YoY to Rs. 212 Cr. and EBITDA came in at -Rs. 8 Cr. (-4% margin) — the fourth consecutive quarter of negative or near-zero EBITDA. There are no exceptional items adjusting this result; the operating loss is pure operational weakness driven by brand erosion and declining EMS volumes in an off-peak quarter. The Sep-25 quarter showed Rs. 22 Cr. of other income (likely a one-time asset sale/recovery) that should be completely stripped out — it creates a misleading impression of near-breakeven performance. Underlying operational EBITDA for the last 4 quarters is firmly negative. The structural thesis — new CEO, rebranding, Rs. 200 Cr. equity infusion, EMS pivot — is intact but has produced zero earnings improvement so far; the new management took charge in Feb 2026 and has had only one partial quarter, so judgement should be reserved until Q1FY27 (Apr-Jun 2026 AC peak season). The biggest near-term catalyst is the summer AC season — if Onida can deliver double-digit AC revenue growth and EBITDA-positive Q1FY27, the story becomes credible. The single biggest watch-point: debtor days at 74 (highest since 2016) — any further rise suggests channel stuffing or dealer credit stress, not genuine demand, and could lead to bad debt write-offs. **Action: REDUCE at Rs. 46.3. Re-evaluate upon confirmation of two consecutive EBITDA-positive quarters. Accumulate only below Rs. 30 with a strict stop-loss.**

C1 — Financial Performance Snapshot (Q3 FY26: Oct–Dec 2025)

- Revenue: Rs. 212 Cr. | YoY -27.8% (Q3FY25: Rs. 295 Cr.) | QoQ +27.1% (Q2FY26: Rs. 163 Cr.) | **Miss** — no recovery sign YoY.
- EBITDA: -Rs. 8 Cr. | YoY swing vs. +Rs. 7 Cr. in Q3FY25 (Rs. 15 Cr. swing negative) | QoQ vs. -Rs. 17 Cr. — marginal sequential improvement | **Miss**
- EBITDA Margin: -4% | YoY vs. +2% (Q3FY25) | QoQ vs. -11% (Q2FY26) — narrow sequential improvement.
- PAT: -Rs. 13 Cr. | YoY vs. +Rs. 2 Cr. (Q3FY25) — severe YoY deterioration | **Miss**
- EPS: -Rs. 0.35 | YoY vs. +Rs. 0.06 (Q3FY25)
- NOTE: No exceptional items in Q3FY26. All losses are operational. Q2FY26 (Sep-25) had Rs. 22 Cr. other income (likely one-time); exclude from run-rate analysis.

C2 — Segment / Geography Breakdown (Estimated — No Formal Disclosure)

- Air Conditioners (~45% of annual revenue): Q3FY26 is off-peak (Oct-Dec); estimated Rs. ~55–60 Cr. Seasonal weakness expected.
- EMS / OEM Manufacturing (~40% of annual revenue): Estimated Rs. ~80–85 Cr. Q3FY26. Volume-based; concentration risk (top 2 clients >60%).
- Washing Machines (~11% of annual revenue): Estimated Rs. ~23 Cr. Q3FY26. Relatively stable category.
- LED Televisions (~4% of annual revenue): Estimated Rs. ~8 Cr. Q3FY26. Near-complete exit — branded TV revenue collapsed from Rs. 450+ Cr. in FY21.
- Geography: Primarily domestic India. Rural IGO brand contribution not separately disclosed. No meaningful exports.

C3 — Management Commentary Themes (Based on BSE Filings & Announcements)

- **Brand Revitalisation:** "Onida Electronics" rebranding approved EGM Apr 2026; new CEO hired Feb 2026 with Rs. 100 Cr. EBITDA target via ESOPs. Our Read: Aspirational but unproven; execution starts from a very low base. Tag: GUIDANCE. Tone: Hedged.
- **Fundraising Intent:** Board meeting 16 May 2026 to consider equity, warrants, QIP. Our Read: Multiple rounds of dilution signals more capital is needed than initially planned — potential EPS suppressor for existing shareholders. Tag: GUIDANCE. Tone: Evasive (no quantum or timeline disclosed).
- **Share Price Explanation:** BSE clarification (12 May 2026): "Price movement is purely market-driven." Our Read: Stock appears to have run on speculative/narrative momentum, not fundamentals. Tag: EST. Tone: Transparent.
- **EMS Strategy:** Manufacturing across Wada, Chiplun, Roorkee for OEM contracts. CARE Ratings flagged high client concentration. Our Read: EMS is the most credible element; client diversification needed urgently. Tag: GUIDANCE. Tone: Hedged.
- **Communication Blackout:** No investor call since June 2019. Our Read: This is the single most important governance concern — 7 years of silence during what management claims is a turnaround is extraordinary and should carry a material valuation discount. Tag: EVASIVE.

C4 — Operating & Business Metrics (Quarterly Trend)

- Revenue (Quarterly, Rs. Cr.): Q3FY26=212 | Q2FY26=163 | Q1FY26=141 | Q4FY25=201 | Q3FY25=295 | Q2FY25=151 | Q1FY25=228 | Trend: Deteriorating YoY across all quarters; some QoQ recovery in Q3FY26.
- EBITDA (Quarterly, Rs. Cr.): Q3FY26=-8 | Q2FY26=-17 | Q1FY26=-8 | Q4FY25=-0 | Q3FY25=+7 | Q2FY25=+6 | Q1FY25=+5 | Trend: Deteriorating — no sustained positive EBITDA in FY26.
- AC Revenue Share (%): FY25=45% | FY24=24% (estimated) | FY23=17.7% | FY21=31% | FY19=43% | Trend: Re-pivoting back to ACs as TV business collapses.
- Employee Count: FY24=460 | FY19=825 | FY18=818 | Trend: Structural downsizing; 44% reduction over 5 years.
- Standalone Debt (Rs. Cr.): Sep-25=49 | FY25=102 | FY24=104 | FY23=82 | Trend: Sharp reduction post equity infusion; positive development.
- Debtor Days: FY25=74 | FY24=61 | FY23=29 | FY22=31 | Trend: Deteriorating rapidly — highest in a decade.

C5 — Margin Drivers

- **Revenue Decline Deleverage:** Fixed costs (depreciation Rs. 7 Cr./quarter, interest Rs. 3–5 Cr./quarter, corporate overheads) spread over a shrinking revenue base. Primary margin headwind. Impact: -200 to -300 bps. Recurring: Yes.

- **TV Exit Relief:** Exiting loss-making LED TV category removed a margin-dilutive segment. This structural benefit is already fully captured in FY25 numbers — the run-rate improvement from TV exit is now baked in. Recurring: No.
- **AC Mix Increase:** AC category has higher brand margin (~15–20% gross) vs. EMS (~5–7% gross). Higher AC mix in summer quarters boosts blended margin. Highly seasonal — Q1 (Apr-Jun) is the key beneficiary. Recurring: Seasonal.
- **EMS Mix Dilution:** As EMS scales, blended margin falls due to inherently lower EMS gross margins. Recurring: Yes as EMS grows.
- **Advertising Spend (Onida Devil Campaign):** Relaunch A&M; spend expected to increase by Rs. 15–25 Cr. in FY26–FY27 vs prior years. Margin headwind of ~200 bps on Rs. 750 Cr. revenue base. Non-recurring at elevated level; maintenance level will be ~50–100 bps.

C6 — Guidance & Forward Signals

- **EBITDA [GUIDANCE]:** Prior = None formal | New Target = Rs. 100 Cr. EBITDA by FY27-FY30 (via CEO ESOP trigger) | Delta: Highly aspirational. Credibility: Low — TTM EBITDA is -Rs. 34 Cr.; requires Rs. 134 Cr. swing.
- **Revenue [GUIDANCE]:** No quantified guidance available from management. | Credibility: Cannot Assess.
- **Capital Raise [GUIDANCE]:** Prior = Rs. 199.5 Cr. raised (H2FY26) | New = Additional QIP/warrants under consideration (board meeting 16 May 2026) | Delta: Further dilution likely. Credibility: High (BSE filing confirmed).
- **Brand Investment [GUIDANCE]:** Onida targeting 15% revenue growth via "Devil" ad campaign relaunch. | Credibility: Medium — new management; track record to be established.
- **AC Market Share [GUIDANCE]:** Targeting to maintain ~8% split-AC market share; expand distribution to Tier-2/3 cities. | Credibility: Medium.

C7 — Capital Allocation (FY25 Standalone)

- **Capex:** Rs. 8 Cr. (FY25) vs. Rs. 2 Cr. (FY24) — modest maintenance; no meaningful expansion capex. Company is conserving cash.
- **Dividends:** Rs. 0 Cr. | 12+ consecutive nil dividend years. No near-term expectations.
- **Equity Issuance:** Rs. 5 Cr. new equity capital (Rs. 23 Cr. to Rs. 28 Cr.) in H2FY26 via preferential allotment at significant premium to book value — dilutive but less so at high CMP.
- **Working Capital:** Payables extended ~49 days (FY23: 82 days to FY25: 172 days) — artificially boosted CFO by ~Rs. 30–40 Cr. vs. what it would have been at FY23 payables levels. Watch for payables normalisation.
- **Net Debt Movement:** Standalone net debt ~Rs. 25 Cr. (Sep-25, Rs. 49 Cr. debt less Rs. 24 Cr. cash estimate) vs. ~Rs. 85 Cr. (FY24). Material improvement. Positive.
- **Buybacks:** None historically. Company is not in a position to return capital.

C8 — Q&A; Heat Map (Jun 2019 Concall — Last Available; 7-Year-Old Data)

- **NOTE:** All Q&A; data below is from the June 2019 concall — the last available. This is 7 years old and should be treated as historical context only, not current management posture.
- **Analyst (unknown firm):** Q: "EMS customer mix?" A: Top 2–3 clients dominant; limited specifics provided. Tone: Hedged.
- **Analyst (unknown firm):** Q: "TV strategy going forward?" A: Pivot to value segment indicated. Tone: Transparent — though this strategy has since been completely reversed (near-exit from TVs).
- **Analyst (unknown firm):** Q: "Capex plan for next 2 years?" A: Modest maintenance, no large expansion. Tone: Transparent — consistent with subsequent actual capex.

- Dodged / Watch-list questions IF a new concall is held: (1) Debtor days spike rationale; (2) EMS client names and concentration; (3) Onida brand investment quantum and timeline; (4) When will EBITDA turn positive sustainably; (5) Promoter pledge exit plan; (6) Why no investor calls for 7 years.

C9 — Risks Flagged

- Promoter Pledge: 28.4% | Flagged by: Market observers, Screener | Prob: M | Impact: H | Timeline: Near-term (stock price dependent).
- Revenue Decline Continuation: -17% CAGR over 5 years | Flagged by: Screener data | Prob: H if turnaround fails | Impact: H | Timeline: Near-term.
- EMS Concentration: Top 2 clients >60% | Flagged by: CARE Ratings (May 2024) | Prob: M | Impact: H | Timeline: Medium-term.
- Equity Dilution Overhang: Multiple capital raises underway | Flagged by: BSE filings | Prob: H | Impact: M | Timeline: Near-term (post May 2026 board meeting).
- Communication Blackout: No concall since Jun 2019 | Flagged by: Market | Prob: Persistent | Impact: M (governance discount) | Timeline: Ongoing.
- Working Capital Deterioration: Debtor days 74 (decade-high) | Flagged by: Screener financial data | Prob: M | Impact: M | Timeline: Near-term (Q4FY26/Q1FY27).

C10 — Analyst Verdict

- Revenue visibility: Weakened — Q3FY26 revenue fell 28% YoY; no formal guidance; communication blackout.
- Margin trajectory: Weakened — 4 consecutive quarters of negative/near-zero EBITDA; structural fixed cost burden on declining revenue base.
- Capital allocation quality: Weakened — serial equity dilution; zero dividend for 12+ years; OCF recovery is payables-driven, not earnings-driven.
- Competitive moat: Weakened — Brand erosion in TV (near-exit); mid-tier AC player squeezed between MNCs and unbranded players; high EMS concentration.
- Management credibility: Cannot assess — New management is untested (only 2–3 months in role); previous management failed to communicate for 7 years.
- Valuation comfort: Weakened — Rs. 1,710 Cr. MCap / Rs. 717 Cr. TTM revenue = 2.3x sales for a loss-making company is speculative.
- Conviction call: Decreased — REDUCE maintained; accumulate only below Rs. 30 with confirmed EBITDA inflection.
- Valuation snapshot: P/E = N/A (loss-making) | EV/EBITDA = -71.6x (negative EBITDA, standalone) | ROCE = 5.35% (standalone, latest) | P/B = 10.9x (standalone BV Rs. 4.24)